

Section Id :	64065364227
Section Number :	9
Section type :	Online
Mandatory or Optional :	Mandatory
Number of Questions :	41
Number of Questions to be attempted :	41
Section Marks :	40
Display Number Panel :	Yes
Section Negative Marks :	0
Group All Questions :	No
Enable Mark as Answered Mark for Review and Clear Response :	No
Maximum Instruction Time :	0
Sub-Section Number :	1
Sub-Section Id :	640653134786
Question Shuffling Allowed :	No

Question Number : 202 Question Id : 640653906931 Question Type : MCQ Calculator : Yes
Correct Marks : 0

Question Label : Multiple Choice Question

THIS IS QUESTION PAPER FOR THE SUBJECT "DEGREE LEVEL : FINANCIAL FORENSICS (COMPUTER BASED EXAM)"

ARE YOU SURE YOU HAVE TO WRITE EXAM FOR THIS SUBJECT?
CROSS CHECK YOUR HALL TICKET TO CONFIRM THE SUBJECTS TO BE WRITTEN.

(IF IT IS NOT THE CORRECT SUBJECT, PLS CHECK THE SECTION AT THE TOP FOR THE SUBJECTS REGISTERED BY YOU)

Options :

6406533052707. ✓ YES

6406533052708. ✗ NO

Sub-Section Number :	2
Sub-Section Id :	640653134787
Question Shuffling Allowed :	Yes

Question Number : 203 Question Id : 640653906932 Question Type : MCQ Calculator : Yes
Correct Marks : 1

Question Label : Multiple Choice Question

If a model predicts the positive class for all observations in a binary classification problem with both positive and negative cases present, which of the following statements is true?

Options :

6406533052709. ✗ Precision is 100%, but Recall is not necessarily 100%.

6406533052710. ✖ Both Recall and Precision are 100%.

6406533052711. ✔ Recall is 100%, but Precision is not necessarily 100%.

6406533052712. ✖ Neither Recall nor Precision are 100%.

6406533052713. ✖ None of these

Question Number : 204 Question Id : 640653906933 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

What is the KS of the below gains table?

Rank	Min	Max	Total Volume	Bads Volume	Goods Volume	KS
1	126	152	1909	0	1909	0.0000
2	152	158	1909	0	1909	0.0501
3	158	162	1909	0	1909	0.1002
4	162	167	1909	1	1908	0.1502
5	167	171	1909	0	1909	0.1836
6	171	175	1909	0	1909	0.2337
7	175	180	1909	0	1909	0.2838
8	180	185	1909	0	1909	0.3339
9	185	191	1909	1	1908	0.3839
10	191	198	1909	1	1908	0.4173
11	198	207	1909	0	1909	0.4507
12	207	217	1909	1	1908	0.5008
13	217	229	1909	0	1909	0.5342
14	229	243	1909	1	1908	0.5843
15	243	257	1909	2	1907	0.6176
16	257	274	1909	3	1906	0.6343
17	274	295	1909	1	1908	0.6343
18	295	327	1909	8	1901	0.6677
19	327	383	1909	12	1897	0.5843
20	383	696	1909	29	1880	0.4340

Options :

6406533052714. ✖ 43.40

6406533052715. ✖ 41.73

6406533052716. ✔ 66.77

6406533052717. ✖ 38.89

6406533052718. ✖ Data Insufficient

Question Number : 205 Question Id : 640653906934 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

What is the Capture Rate of Bads at top 20%?

Rank	Min	Max	Total Volume	Bads Volume	Goods Volume	KS
1	126	152	1909	0	1909	0.0000
2	152	158	1909	0	1909	0.0501
3	158	162	1909	0	1909	0.1002
4	162	167	1909	1	1908	0.1502
5	167	171	1909	0	1909	0.1836
6	171	175	1909	0	1909	0.2337
7	175	180	1909	0	1909	0.2838
8	180	185	1909	0	1909	0.3339
9	185	191	1909	1	1908	0.3839
10	191	198	1909	1	1908	0.4173
11	198	207	1909	0	1909	0.4507
12	207	217	1909	1	1908	0.5008
13	217	229	1909	0	1909	0.5342
14	229	243	1909	1	1908	0.5843
15	243	257	1909	2	1907	0.6176
16	257	274	1909	3	1906	0.6343
17	274	295	1909	1	1908	0.6343
18	295	327	1909	8	1901	0.6677
19	327	383	1909	12	1897	0.5843
20	383	696	1909	29	1880	0.4340

Options :

6406533052719. ✖ 100%

6406533052720. ✖ 68.33%

6406533052721. ✔ 83.33%

6406533052722. ✖ 48.33%

6406533052723. ✖ Data Insufficient

Question Number : 206 Question Id : 640653906935 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

What is the Capture Rate of applications having score greater than 195?

Rank	Min	Max	Total Volume	Bads Volume	Goods Volume	KS
1	126	152	1909	0	1909	0.0000
2	152	158	1909	0	1909	0.0501
3	158	162	1909	0	1909	0.1002
4	162	167	1909	1	1908	0.1502
5	167	171	1909	0	1909	0.1836
6	171	175	1909	0	1909	0.2337
7	175	180	1909	0	1909	0.2838
8	180	185	1909	0	1909	0.3339
9	185	191	1909	1	1908	0.3839
10	191	198	1909	1	1908	0.4173
11	198	207	1909	0	1909	0.4507
12	207	217	1909	1	1908	0.5008
13	217	229	1909	0	1909	0.5342
14	229	243	1909	1	1908	0.5843
15	243	257	1909	2	1907	0.6176
16	257	274	1909	3	1906	0.6343
17	274	295	1909	1	1908	0.6343
18	295	327	1909	8	1901	0.6677
19	327	383	1909	12	1897	0.5843
20	383	696	1909	29	1880	0.4340

Options :

6406533052724. ✖ 100%

6406533052725. ✖ 68.33%

6406533052726. ✖ 0%

6406533052727. ✖ 48.33%

6406533052728. ✔ Data Insufficient

Question Number : 207 Question Id : 640653906938 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

The Bankruptcy Bank, one of the major lending banks, has hired you to build a credit underwriting model to help their automated lending decisions. Their definition of default is 60-89 DPD. There is historical loans data since January 1, 2021 till 31, July 2024. Which of the following is true – as of July 31, 2024?

Options :

6406533052731. ✖ Jan'21– Jul'24 is used for performance data

6406533052732. ✖ Apl'24 – Jul'24 is used for observation data

6406533052733. ✔ Jan'21 – Apl'24 is used for observation data

6406533052734. ✖ May'24 – Jul'24 is used for performance data

6406533052735. ✖ Jan'21 – Jan'24 is used for observation data

Question Number : 208 Question Id : 640653906939 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Rollrate analysis is used to determine which of the following?

Options :

6406533052736. ✖ Vintages to be used in the data

6406533052737. ✖ Feature selection

6406533052738. ✔ Target variable definition

6406533052739. ✖ None of these

Question Number : 209 Question Id : 640653906940 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following possibly happens after approving credit?

Options :

6406533052740. ✖ Underwriting

6406533052741. ✖ Reject Inferencing

6406533052742. ✖ Propensity

6406533052743. ✔ Collections

6406533052744. ✖ Fraud check

Question Number : 210 Question Id : 640653906941 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Stemming is slower than Lemmatization

Options :

6406533052745. ✖ TRUE

6406533052746. ✔ FALSE

Question Number : 211 Question Id : 640653906942 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following is not a text preprocessing technique?

Options :

6406533052747. ✖ Stopword removal

6406533052748. ✖ Stemming

6406533052749. ✔ Encoding

6406533052750. ✖ Lowercase conversion

6406533052751. ✖ None of these

Question Number : 212 Question Id : 640653906943 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Given the sentence:

"Customer sign-up rates have increased by 25% in the last quarter."

Output:

['customer', 'sign', 'up', 'rates', 'increased', '25', 'last', 'quarter']

Which of the following text preprocessing techniques was NOT applied to the sentence?

Options :

6406533052752. ✖ Lowercasing

6406533052753. ✖ Removing punctuation

6406533052754. ✔ Lemmatization

6406533052755. ✖ Tokenization

6406533052756. ✖ None of these

Question Number : 213 Question Id : 640653906944 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

What is reject inferencing in the context of machine learning?

Options :

6406533052757. ✖ A technique to infer missing data points

6406533052758. ✔ A method to handle rejected cases in a dataset

6406533052759. ✖ A process to reject outliers in the dataset

6406533052760. ✖ A way to accept all data points without filtering

Question Number : 214 Question Id : 640653906945 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

In the context of reject inferencing, what does 'good reject' refer to?

Options :

6406533052761. ✖ An incorrectly inferred rejected case

6406533052762. ✔ A rejected case that should have been accepted based on model prediction

6406533052763. ✖ A correctly rejected case

6406533052764. ✖ A rejected case used as a reference for model adjustments

Question Number : 215 Question Id : 640653906946 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

In a credit risk scenario, if a model has high recall but low precision, it implies that:

Options :

6406533052765. ✖ The model correctly identifies a high percentage of non-risky customers but makes many mistakes in identifying risky customers.

6406533052766. ✔ The model correctly identifies a high percentage of risky customers but also incorrectly labels many non-risky customers as risky.

6406533052767. ✖ The model correctly identifies a high percentage of non-risky customers and makes few mistakes in identifying risky customers

6406533052768. ✖ The model correctly identifies a high percentage of risky customers and makes few mistakes in identifying non-risky customers.

Question Number : 216 Question Id : 640653906947 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Which scenario is likely to occur if a credit risk model is optimized solely for high recall?

Options :

6406533052769. ✖ Most non-risky customers will be correctly identified.

6406533052770. ✖ Most risky customers will be correctly identified.

6406533052771. ✔ Many non-risky customers will be incorrectly labeled as risky.

6406533052772. ✖ Many risky customers will be incorrectly labeled as non-risky.

Question Number : 217 Question Id : 640653906948 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

In a SHAP summary plot, what does the colour of the points typically represent?

Options :

6406533052773. ✖ The magnitude of the SHAP values

6406533052774. ✖ The type of model used

6406533052775. ✔ The value of the feature (e.g., high or low)

6406533052776. ✖ The importance of the feature

Question Number : 218 Question Id : 640653906949 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

What does "local predictability" refer to in the context of SHAP explanations?

Options :

6406533052777. ✔ The ability of SHAP values to explain the contribution of features to individual predictions

6406533052778. ✖ The general accuracy of the model across the entire dataset

6406533052779. ✖ The average SHAP value for a feature across multiple predictions

6406533052780. ✖ The consistency of SHAP values across different models

Question Number : 219 Question Id : 640653906952 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

If average total assets increase, but net income, net sales, and average stockholders' equity remain the same, what is the impact on the return on assets ratio?

Options :

6406533052783. ✖ Remains the same.

6406533052784. ✖ Increases.

6406533052785. ✔ Decreases.

6406533052786. ✖ Cannot be determined without additional information.

Question Number : 220 Question Id : 640653906953 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Info Systems Inc. has sales of ₹ 2,820, costs of goods sold of ₹ 2,160, inventory of ₹504, and accounts receivable of ₹ 430. How many days, on average, does it take Info Systems Inc. to sell its inventory?

Options :

6406533052787. ✔ 85.17 days

6406533052788. ✖ 65.23 days

6406533052789. ✖ 84.00 days

6406533052790. ✖ 55.66 days

Question Number : 221 Question Id : 640653906956 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

You have been awarded an insurance settlement of ₹ 250,000 that is payable one year from today. What is the minimum amount you should accept today in exchange for this settlement if you can earn 6.7 percent on your investments?

Options :

6406533052793. ✖ ₹ 232,866.67

6406533052794. ✔ ₹ 234,301.78

6406533052795. ✖ ₹ 242,408.19

6406533052796. ✖ ₹ 250,000.00

Question Number : 222 Question Id : 640653906958 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

An insurance settlement offer includes annual payments of ₹ 36,000, ₹ 42,000, and ₹ 50,000 over the next three years, respectively, with the first payment being made one year from today. What is the minimum amount you should accept today as a lumpsum settlement if your discount rate is 7

percent?

Options :

6406533052798. ✓ ₹ 111,144.18

6406533052799. ✗ ₹ 105,000.10

6406533052800. ✗ ₹ 118,924.27

6406533052801. ✗ ₹ 114,556.88

Question Number : 223 Question Id : 640653906959 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Scott has been offered an employment contract for ten years at a starting salary of ₹ 65,000 with guaranteed annual raises of 5 percent. What is the current value of this offer at a discount rate of 7 percent?

Options :

6406533052802. ✗ ₹ 638,724.17

6406533052803. ✗ ₹ 602,409.91

6406533052804. ✓ ₹ 558,845.85

6406533052805. ✗ ₹ 630,500.00

Question Number : 224 Question Id : 640653906960 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Which statement concerning the net present value (NPV) of an investment or a financing project is correct?

Options :

6406533052806. ✗ A financing project should be accepted if, and only if, the NPV is exactly equal to zero.

6406533052807. ✗ An investment project should be accepted only if the NPV is equal to the initial cash flow.

6406533052808. ✓ Any type of project should be accepted if the NPV is positive and rejected if it is negative.

6406533052809. ✗ Any type of project with greater total cash inflows than total cash outflows, should always be accepted.

Question Number : 225 Question Id : 640653906961 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Wilson's Market is considering two mutually exclusive projects that will not be repeated. The required rate of return is 13.9 percent for Project A and 12.5 percent for Project B. Project A has an initial cost of ₹54,500, and should produce cash inflows of ₹16,400, ₹28,900, and ₹31,700 for Years 1 to 3, respectively. Project B has an initial cost of ₹69,400, and should produce cash inflows of ₹0, ₹48,300, and ₹42,100, for Years 1 to 3, respectively. Which project, or projects, if either, should be

accepted and why?

Options :

6406533052810. ✓ Project A; because its NPV is positive while Project B's NPV is negative
6406533052811. ✗ Project A; because it has the higher required rate of return
6406533052812. ✗ Project B; because it has the largest total cash inflow
6406533052813. ✗ Neither project; because neither has an NPV equal to or greater than its initial cost

Question Number : 226 Question Id : 640653906964 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

It's always good to have the debt equity ratio of 1 to have a lower WACC:

Options :

6406533052816. ✗ TRUE
6406533052817. ✓ FALSE

Question Number : 227 Question Id : 640653906965 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following statements are true with respect to ACF and PACF plots

- I. ACF plots are used to determining the order of Autoregressive models.
- II. PACF plots are used to determining the order of Autoregressive models.
- III. PACF plots just computes the Pearson's correlation between the variable and it's lagged versions.
- IV. ACF plots just computes the Pearson's correlation between the variable and it's lagged versions.

Options :

6406533052818. ✗ I and III
6406533052819. ✓ II and IV
6406533052820. ✗ I and IV
6406533052821. ✗ II and III

Question Number : 228 Question Id : 640653906966 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

What does the term 'liquidity' refer to in the context of a Balance Sheet?

Options :

6406533052822. ✗ The amount of cash a company has on hand.
6406533052823. ✓ The company's ability to pay off its short-term obligations.
6406533052824. ✗ The total value of a company's assets.

6406533052825. ✖ The value of the company's long-term investments.

Question Number : 229 Question Id : 640653906967 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

A company has the following information:

- Total Assets: \$500,000
- Total Liabilities: \$300,000
- Retained Earnings: \$100,000

If the company issues additional common stock worth \$50,000, what will be the new Equity value?

Options :

6406533052826. ✖ \$100,000

6406533052827. ✖ \$150,000

6406533052828. ✖ \$200,000

6406533052829. ✔ \$250,000

Question Number : 230 Question Id : 640653906971 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following would NOT appear in the P&L statement?

Options :

6406533052832. ✖ Sales Revenue

6406533052833. ✖ Utilities Expense

6406533052834. ✔ Long-term Debt

6406533052835. ✖ Depreciation Expense

Question Number : 231 Question Id : 640653906972 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

ABC Bank has given INR 1,00,000 as an loan to it's customer at the rate of 8.5% p.a. in January 2023. At the end of the year the customer paid back 1,08,500 to the bank. While preparing the cash flow statement for 2023 under which header will the bank account this cash inflow:

Options :

6406533052836. ✔ Cash flow from Operations

6406533052837. ✖ Cash flow from Finance
6406533052838. ✖ Cash flow from Investment

Sub-Section Number : 3
Sub-Section Id : 640653134788
Question Shuffling Allowed : Yes

Question Number : 232 Question Id : 640653906936 Question Type : SA Calculator : None
Correct Marks : 1

Question Label : Short Answer Question

What is the Roll Back rate for 150+ DPD after 18 MOB? (Express your answer as percentage)

After 12 MOB	After 18 MOB								
	Delinquency	No Due	0-29 DPD	30-59 DPD	60-89 DPD	90-119 DPD	120-149 DPD	150+ DPD	Total
	No Due	109994	8344	4994	3344	1694	1094	494	129958
	0-29 DPD	45494	6694	3344	1694	1694	844	494	60258
	30-59 DPD	19194	4994	3344	694	494	194	1194	30108
	60-89 DPD	5694	4994	1694	344	1694	1344	844	16608
	90-119 DPD	3344	844	494	194	694	3344	1694	10608
	120-149 DPD	494	194	194	144	144	844	1994	4008
	150+ DPD	94	64	49	39	9	4	3494	3753

Response Type : Numeric
Evaluation Required For SA : Yes
Show Word Count : Yes
Answers Type : Range
Text Areas : PlainText
Possible Answers :
6.85 to 6.95

Question Number : 233 Question Id : 640653906937 Question Type : SA Calculator : None
Correct Marks : 1

Question Label : Short Answer Question

What is the Roll Forward rate for 120-149 DPD after 18 MOB? (Express your answer as percentage)

After 12 MOB	After 18 MOB								
	Delinquency	No Due	0-29 DPD	30-59 DPD	60-89 DPD	90-119 DPD	120-149 DPD	150+ DPD	Total
	No Due	109994	8344	4994	3344	1694	1094	494	129958
	0-29 DPD	45494	6694	3344	1694	1694	844	494	60258
	30-59 DPD	19194	4994	3344	694	494	194	1194	30108
	60-89 DPD	5694	4994	1694	344	1694	1344	844	16608
	90-119 DPD	3344	844	494	194	694	3344	1694	10608
	120-149 DPD	494	194	194	144	144	844	1994	4008
	150+ DPD	94	64	49	39	9	4	3494	3753

Response Type : Numeric
Evaluation Required For SA : Yes
Show Word Count : Yes
Answers Type : Range
Text Areas : PlainText

Possible Answers :

49.70 to 49.80

Question Number : 234 Question Id : 640653906950 Question Type : SA Calculator : None

Correct Marks : 1

Question Label : Short Answer Question

XYZ Consulting paid dividends of ₹ 3,300 and total equity of ₹ 39,450. The debt-equity ratio is 1 and the retention ratio (the ratio of a company's retained income to its net income) is 40 percent. What is the return on assets expressed in percentage?

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

6.94 to 7.00

Question Number : 235 Question Id : 640653906951 Question Type : SA Calculator : None

Correct Marks : 1

Question Label : Short Answer Question

Anu's foods has net income of ₹ 39,900, net sales of ₹ 3,18,600, total assets of ₹ 6,63,000, common stock of ₹ 1,06,800 with a par value of ₹1 per share, and retained earnings of ₹2,24,400. The stock has a market value of ₹ 5.45 per share. What is the price-earnings ratio expressed in percentage?

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

14.5 to 14.68

Question Number : 236 Question Id : 640653906954 Question Type : SA Calculator : None

Correct Marks : 1

Question Label : Short Answer Question

ABC Inc. has net working capital of ₹ 580, net fixed assets of ₹ 2,326, sales of ₹ 6,900, and current liabilities of ₹ 890. How many rupees worth of sales is generated from every ₹ 1 in total assets?

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

1.8 to 1.84

Question Number : 237 Question Id : 640653906955 Question Type : SA Calculator : None

Correct Marks : 1

Question Label : Short Answer Question

A firm has a return on equity of 25 percent. The total asset turnover is 2.4 and the profit margin is 8 percent. The total equity is ₹ 4,100. What is the net income?

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

1025

Question Number : 238 Question Id : 640653906957 Question Type : SA Calculator : None

Correct Marks : 1

Question Label : Short Answer Question

Sully will receive a perpetuity of ₹ 40,000 per year forever, while Jake will receive 4,00,000 annual payment for the next 2 years. If the interest rate is 6.5 percent, how much more are Sully's payments worth?

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

112860 to 112870

Question Number : 239 Question Id : 640653906962 Question Type : SA Calculator : None

Correct Marks : 1

Question Label : Short Answer Question

The risk-free rate of return is 3.6 percent and the market risk premium is 7.84 percent. What is the expected rate of return on a stock with a beta of 1.3?

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

13.74 to 13.84

Question Number : 240 Question Id : 640653906963 Question Type : SA Calculator : None
Correct Marks : 1

Question Label : Short Answer Question

Suppose the risk free rate in the market is 5%, the expected market return is 7% and the beta of the stock is 1.4, at what rate the expected return of a stock changes with respect to the market premium?

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

1.4

Question Number : 241 Question Id : 640653906973 Question Type : SA Calculator : None
Correct Marks : 1

Question Label : Short Answer Question

Holmes, Inc., is a 90% equity and 10% debt financed firm. The unlevered beta is 0.60, the market risk premium is 6.67 percent, and the risk-free rate is 3.30 percent. What is the expected rate of return on this stock? Consider the tax rate as 30%. Express your answer as a decimal

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

0.07 to 0.08

Sub-Section Number :	4
Sub-Section Id :	640653134789
Question Shuffling Allowed :	No

Question Id : 640653906968 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix Calculator : None

Question Numbers : (242 to 243)

Question Label : Comprehension